Honecker, who had survived the Hitlerite Reich, not in Moscow but in German prison, seems to have a somewhat different personal structure [to Ulbricht]. He expressed his readiness to do everything to stabilise and improve the people's living standard, saying that this is why more cooperation is needed.

[8]

In the end, the loan proved a victory for Honecker but cast a spotlight on the dire state of the GDR's monetary affairs. By the summer of 1983, East Germany had racked up debts of DM27 billion in the West – a staggering amount requiring annual interest payments of roughly DM3 billion.

Since 1979, these loans had been repaid solely by incurring new debts, as much as 40 per cent of all arrears were payable and due within a year. This was the principal problem, meaning that the GDR had to raise DM10 billion that summer, DM7 billion for repayment and DM3 billion for interest payments, a task beyond its means. With that dire outlook, Bonn's loan covered its debt service to creditors; otherwise, it faced bankruptcy. Evaluating the situation, economist Werner Obst, told West German TV that predominantly the GDR sought to import modern technology with the help of these credits, but it also imported consumer goods.9 'With these huge loans it should have modernised its own economy to a point where the repayment of the credits would have been possible, and this is precisely what did not happen.' The ultimate blame did not go solely to foreign trade, Obst explained, rather, it was necessary to recall that the GDR had a planned economy in which profitability was not the dominant principle:

As a result, there is careless use of capital, material and labour. We call this an enormous squandering of all resources in the GDR, so that notwithstanding the mass use of labour and despite longer work time, their level of productivity is only